

Session 12

Financing data governance

Ernest Guevarra 

ernest@guevarra.io

University of Oxford

Costs of data governance

Technology infrastructure costs

- Data governance platforms: \$50,000-\$500,000+ annually
- Metadata management tools: \$40,000-\$300,000 annually
- Data quality and profiling tools: \$30,000-\$250,000 annually
- Data catalog solutions: \$50,000-\$400,000 annually

Human resource expenses

- Chief Data Officer salary: \$175,000-\$350,000+
- Data governance managers: \$120,000-\$180,000
- Data stewards: \$85,000-\$130,000 per resource
- Compliance specialists: \$90,000-\$150,000

Implementation and consulting fees

- Initial implementation consulting: \$100,000-\$500,000+
- Strategy development: \$50,000-\$200,000
- Program design: \$75,000-\$250,000
- Training and change management: \$30,000-\$150,000

Compliance-driven governance requirements

- Sector/industry-specific: healthcare regulations compliance; financial services compliance
- General compliance requirements
 - for example, GDPR compliance costs average \$1.4 million for mid-sized enterprises
 - Ongoing maintenance and updates add 30-40% annually to initial costs

Optimising data governance investment

Phased Implementation

- Prioritise governance capabilities based on risk and compliance requirements
- Start with high-risk data domains and expand systematically.

Cloud-Based Solutions

- Cloud-based data governance platforms often provide lower initial costs and more predictable pricing models than on-premises alternatives.
- Organisations can reduce total cost of ownership by 30-45% over five years through cloud-based governance solutions.

Integrated Governance Frameworks

- Develop a unified approach addressing multiple compliance requirements simultaneously rather than creating siloed compliance programs.
- This can reduce duplicative controls by 25-40%.

Automation and AI

- Emerging AI-driven governance tools can reduce manual effort for data classification, monitoring, and remediation.
- Automation can lower ongoing governance costs by 20-35%.

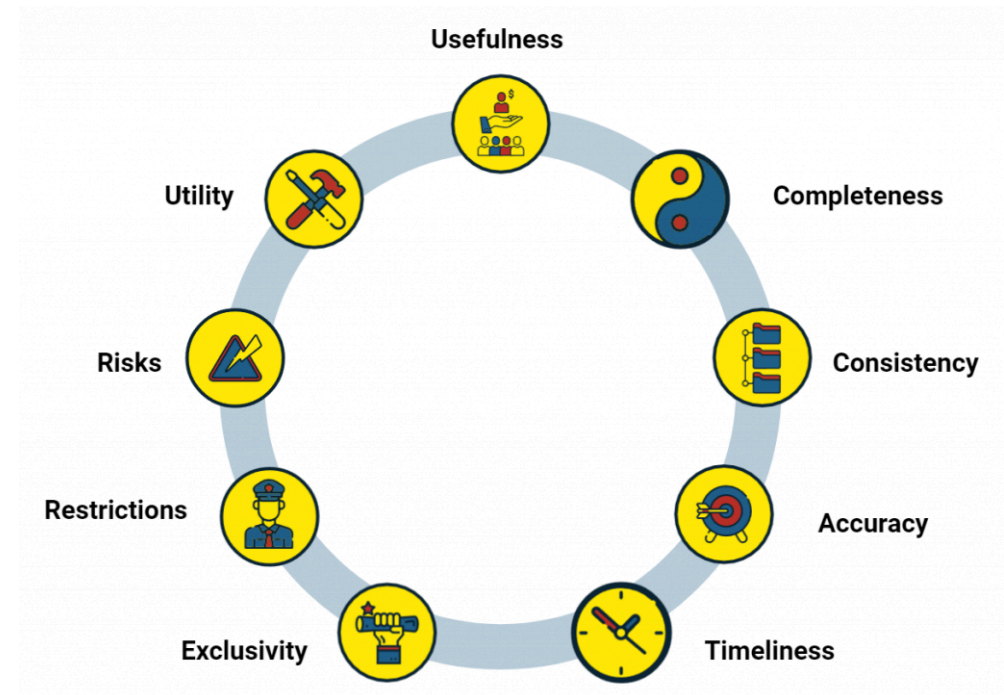
Funding data governance

Use data to improve free cash flow

- Where does data cause cash flow pain?
- Manual vs automated systems for repeated processes
- Show how improved governance can increase efficiency

Increase revenues with data

- Assess value of your data and leverage this value
- Increase customer satisfaction with data



Cutting costs with data

The cost of ambiguity



Proportion of time spent by information workers finding data¹

38%



How often information workers are unable to obtain relevant data² **19%**



63% believe their organisation made decisions from “bad” data³

- About 530,000 days of managers’ time wasted by poor quality and undocumented data (equivalent to some \$250 million in wages annually)
- By just simply documenting your metadata can reduce data-related expenses by up to 97%

Reducing risk with data

The risk of **unclassified** data



A data breach on average cost organisations **\$4.24m**



Data breaches take on average up to **287** days to identify and contain.



Of records breached, **44%** of them were customer personally identifiable information(PII)



The average cost per breached record is **\$161**.
The average cost per breach customer PII record is **\$180**

- Regulatory risk (GDPR fines, for example)
- Cybersecurity risk (both costs of the response and erosion of customer trust)

Generating financial resources for data

- Use data valuations to pinpoint parts of the business where data can increase revenue, unlock cash flow, or reduce costs and risk.
- This gives you a concrete basis for discussions with leadership about investing in data improvements.
- Instead of requesting budget without evidence, you approach the CFO with solid, data-driven justification.
- Securing funding for data governance becomes much easier when the financial benefits are clearly understood.